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The Role and Structure of Cooperative Banks in India

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India has one of the largest cooperative banking networks in the world – a system that quietly underpins the financial lives of millions of farmers, rural households, and small entrepreneurs. Unlike commercial banks driven by profit, cooperative banks are built on a fundamentally different idea: members are both owners and customers, and the bank exists to serve their needs. According to NABARD, India has nearly 8 lakh cooperative societies with a membership base of over 29 crore people, accounting for roughly 27% of all cooperatives in the world. Understanding how cooperative banks are structured, what they do, and the principles that drive them is essential for anyone interested in rural finance and agripreneurship.

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A brief history of cooperative banking in India

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latter part of the nineteenth century. This gave farmers a legal pathway to form credit societies and access affordable loans – a major step away from dependence on exploitative moneylenders.

The 1912 Co-operative Societies Act further expanded the framework by allowing the formation of central cooperative banks. Post-independence, the government integrated cooperative banks into India's Five-Year Plans as instruments of rural development. The establishment of **NABARD in 1982** gave the system a dedicated refinancing and supervisory institution, significantly strengthening the cooperative credit infrastructure across the country.

What makes cooperative banks different



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Cooperative banks differ from commercial banks in ownership, governance, and purpose. **They are member-owned financial institutions operating on the principle of “one member, one vote,”** which means every member has an equal say regardless of the amount of capital they hold. Their primary goal is financial inclusion and affordable credit – not profit maximization.

They mainly serve small farmers, rural households, artisans, self-employed persons, and urban middle- and lower-income groups. The cooperative structure is designed around mutual help and democratic decision-making. **The aim is not to maximize profits but to provide the best possible services to its members** – a distinction that shapes everything from lending rates to community involvement.

The three-tier structure of rural cooperative credit



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The rural cooperative banking system in India is organized into a well-defined hierarchical structure. For short-term credit – which covers seasonal agricultural operations, input purchases, and working capital – **the system follows a three-tier setup** consisting of Primary Agricultural Credit Societies (PACS) at the village level, District Central Cooperative Banks (DCCBs) at the district level, and State Cooperative Banks (StCBs) at the state level.

Tier 1: Primary Agricultural Credit Societies (PACS)

PACS are grassroots
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gram panchayat and village level. Each PACS typically covers one or more villages.

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PACS provide short-term and medium-term credit for agricultural operations. Their role, however, goes beyond just lending. They also distribute inputs such as seeds and fertilizers, provide agricultural implements on rent to farmers, offer marketing facilities for agricultural produce, and extend loans for non-agricultural purposes such as housing, education, and consumer durables. Only members of a PACS are entitled to borrow from it. As of 2025, there are around 96,000 PACS operating across India under NABARD’s supervision.

Importantly, PACS are not regulated by the Reserve Bank of India since they fall outside the purview of the Banking Regulation Act, 1949. This means their governance is managed by the respective state’s Registrar of Cooperative Societies.

Tier 2: District Central Cooperative Banks (DCCBs)

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DCCBs form the middle tier of the rural cooperative structure and operate at the district level. They act as federations of PACS and play a crucial intermediary role between village societies and the state cooperative bank. Their primary function is to channel funds from the StCB downward to the PACS and ultimately to rural borrowers.

DCCBs raise funds through deposits and concessional loans from NABARD and StCBs. They also provide direct credit to individuals and cooperative societies for agricultural and allied purposes. DCCBs get loans from the State Cooperative Bank and in turn grant loans to PACS and individuals. Unlike PACS, DCCBs are licensed banking entities regulated jointly by the RBI (for banking functions) and the Registrar of Cooperative Societies (for management). As of recent reports, there are around 370 DCCBs operating across India.

Tier 3: State Cooperative Banks (StCBs)

At the apex of the short-term rural cooperative credit structure sit the State Cooperative Banks. Typically, each state has one StCB, which mobilises funds and supports DCCBs. The StCB acts as the link between the RBI and NABARD on one side, and the DCCBs and PACS on the other. It channels government funds, NABARD refinance, and market borrowings into the cooperative credit system.

StCBs also undertake

beyond traditional

diversification

of Cooperative

X

Societies – with RBI overseeing banking functions and the Registrar handling management-related aspects. NABARD, under Section 35A of the Banking Regulation Act, has been delegated RBI’s powers to conduct inspections of StCBs and DCCBs.

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Long-term cooperative credit structure

Beyond short-term agricultural credit, a separate two-tier structure exists in several states to address long-term rural finance needs. **Long-term credit cooperatives follow a two-tier structure** consisting of State Cooperative Agriculture and Rural Development Banks (SCARDBs) at the state level and Primary Cooperative Agriculture and Rural Development Banks (PCARDBs) at the grassroots level.

SCARDBs provide long-term finance for land improvement, irrigation, farm mechanization, and rural housing – loans that can extend up to 25 years. PCARDBs function at the district, block, or taluka level and serve small farmers and rural artisans with medium and long-term loans for purchasing land, farm equipment, wells, and irrigation systems. NABARD supervises and refinances these institutions as well.

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Urban Cooperative Banks (UCBs)

The cooperative banking system is not limited to rural areas. Urban Cooperative Banks operate in urban and semi-urban areas and primarily cater to the financial needs of salaried individuals, small traders, retail businesses, and professionals. **UCBs mobilize savings from middle and low-income urban groups and extend credit to weaker sections.** They are registered under State Cooperative Societies Acts or the Multi-State Cooperative Societies Act, 2002 if they operate across state borders. UCBs are supervised for banking operations by the RBI, while management aspects fall under respective state governments. As of 2025, India has over 1,500 Urban Cooperative Banks.

Principles and values guiding cooperative banks



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The cooperative banking system draws its purpose from a globally recognized set of principles. **The International Cooperative Alliance (ICA) defines cooperatives as autonomous associations of persons united voluntarily to meet their common economic, social, and cultural needs through a jointly owned and democratically controlled enterprise.** Seven core principles underpin this model:

Voluntary and open membership: Cooperative banks are open to all persons willing to use their services, without discrimination based on gender, social, racial, political, or religious grounds.

Democratic member control: Members actively participate in setting policies and making decisions, with elected representatives accountable to the membership and primary cooperatives applying one member, one vote.

Members' economic participation: Members contribute equitably to the capital of the cooperative and allocate surpluses toward developing the cooperative, benefiting members in proportion to their transactions, or supporting other approved activities.

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Autonomy and independence: Cooperative banks are self-help organizations controlled by their members. Any external agreement or capital arrangement must preserve democratic member control.

Education, training, and information: Cooperatives provide education and training for members, elected representatives, managers, and employees so they can contribute effectively to their cooperative's development.

Cooperation among cooperatives: Cooperatives serve their members most effectively by working together through local, national, and international structures – a principle that is especially relevant to how PACS, DCCBs, and StCBs function as a linked chain.

Concern for community: Cooperatives work for the sustainable development of their communities through policies approved by their members – placing them firmly in the domain of social enterprise alongside commercial activity.



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In India, these principles align closely with the philosophy of Sahkar se Samriddhi (Prosperity through Cooperation), which positions the cooperative sector as a key driver of rural development and self-reliance, aiming to empower farmers, artisans, women, and micro-entrepreneurs by enhancing access to credit, resources, and markets.

Role in rural development and financial inclusion

Cooperative banks serve a population that commercial banks often overlook. Cooperatives provide around 20% of the total agricultural credit in the country, ensuring access to finance for farmers. They also distribute 35% of total fertilizers and support input supply, market access, and rural infrastructure.

Their strength lies in proximity and trust. Because PACS operate at the village level with local members on their boards, they understand the credit requirements of the community better than distant commercial banks. They often act as financial literacy educators, empowering rural communities to make informed financial decisions. This makes them critical instruments in bridging the gap between formal financial systems and underserved rural populations.

The government's ₹2,516 crore computerization program for 63,000 PACS reflects the recognition of this importance. Once all three tiers are digitalized, PACS will be transformed into Multi-Service Centres capable of offering a full range of rural livelihood services, from banking to input supply to Common Service Center operations – dramatically expanding their reach and impact.

Challenges facing cooperative banks

Despite their extensive reach, cooperative banks face persistent structural challenges. Governance issues – including political interference, lack of professional management, and weak accountability – have undermined institutional performance in many states. High non-performing assets (NPAs) continue to erode financial health. Cooperative institutions account for a small share of banking assets but dominate in terms of outreach and presence, yet their balance sheet size as a percentage of scheduled commercial banks has been declining.

The majority of PACS still operate manually, creating inefficiencies and trust deficits. Dual regulation – split between the RBI and state Registrars of Cooperative Societies – has historically created governance gaps. The Banking Regulation (Amendment) Act of 2020 addressed some of these gaps by strengthening RBI's supervisory powers over cooperative banks, a reform that followed high-profile failures in the urban cooperative sector.

What do you think? With India's cooperative banking network reaching over 29 crore members, do you think cooperative banks can truly replace moneylenders as the primary credit source for rural farmers – or does the system need more fundamental reform to earn that trust? And given the government's push to transform PACS into multi-service centers, what additional services do you think would make the biggest difference for rural communities?

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